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POLICY NUMBER: **FP-FIN-030**

REVENUE RECOGNITION – MANAGEMENT, FRANCHISE, & MARKETING LICENSE CONTRACTS

ACCOUNTING POLICY

The purpose of this policy is to document Hilton Worldwide Holdings Inc.'s ("Hilton's") accounting for revenue recognition of fees earned from management agreements between hotel owners and Hilton's management subsidiaries, franchise agreements between hotel owners and Hilton's franchisor subsidiaries, and marketing license agreements between property owners and Hilton's licensor subsidiaries in accordance with U.S Generally Accepted Accounting Principles ("GAAP") Accounting Standard Codification ("ASC").

POLICY STATEMENT

Hilton enters into long-term management, franchise, and or marketing license contracts with owners. In some instances, a hotel may have both a management contract and a franchise contract in place. Under these contracts Hilton earns fees and other income based on various contract structures. See the **Initial Recognition and Measurement** section for further discussion of fee structures. This policy provides guidance and a framework regarding revenue recognition and how Hilton accounts for the fees related to these contracts.

SCOPE

This policy provides guidance on the accounting for fees within the following agreements:

1. Hotel Management Agreements (“MAs”)
2. Hotel Franchise Agreements (“FAs”)
3. Branded residence Marketing License Agreements (“MLAs”)

This policy also provides guidance for the expenses Hilton incurs that are reimbursed by owners when Hilton is determined to be the principal. Refer to the Gross vs. Net discussion within **FP-FIN-020—Revenue Recognition Accounting Policy**.

This policy should be read in conjunction with the **FP-FIN-020—Revenue Recognition Accounting Policy** and **FP-FIN-032—Accounts Receivable – Allowance for Credit Losses Accounting Policy**.

APPLICABILITY

This policy applies to all Finance personnel.

EXCLUSIONS/ EXCEPTIONS

This policy does not address revenue recognition for revenues earned at Hilton’s owned or leased hotels. Refer to **FP-FIN-020—Revenue Recognition Accounting Policy** for general revenue recognition guidance.

AUTHORIZATIONS

Required Consultations with Technical Accounting (“TA”)

N/A

INITIAL RECOGNITION AND MEASUREMENT

In general, Hilton records revenue when, or as, it transfers a promised good or service to a customer.¹ At contract onset, Hilton typically considers it is probable Hilton will collect substantially all of the consideration it will be entitled to in exchange for the goods or services to be transferred to the customer through Hilton’s due diligence process. Special consideration, however, is given to the collectability of incentive fees where payment will likely be deferred in accordance with the contract terms.

Refer to the **FP-FIN-020—Revenue Recognition Accounting Policy** for more details regarding the five steps of the general revenue recognition model and further details around how the model is applied.

¹ ASC 606-10-25-23, *Revenue from Contracts with Customers, Overall, Recognition*

a. Hotel MAs

The following types of fees are typically found in hotel MAs:

MA Fee	Description of Fee	Initial Recognition & Measurement	Performance Obligations
Base	Fees paid in connection with the management of hotels, and the right to access our hotel system IP, which includes the licensing of one of Hilton's brands. Typically calculated as a fixed percentage of the hotel's Total Operating ("Gross") Revenues as defined in the Uniform System of Accounts for the Lodging Industry ("USALI") or as otherwise defined in the management contract. Certain contracts may stipulate a fixed base fee each month.	Recognized as revenue on a monthly basis when earned in accordance with the terms of the contract. Fixed base fees are recognized on a straight-line basis over the contract term.	Hotel Management Services Right to Access Hotel System IP
Incentive	Fees paid in connection with the management of hotels, and the right to access our hotel system IP, which includes the licensing of one of Hilton's brands. This fee differs from a Base fee in that Incentive fees are typically a percentage of a specific hotel profitability metric (e.g., GOP, AGOP or Operating Cash Flows). An Incentive fee can be the sole fee earned or earned in addition to a Base fee. The structure and calculation of these fees can vary but may also include: ○ Tiered or marginal percentages depending on the degree of profitability (sometimes referred to as a super incentive fee). ○ Subordination to a specified minimum owner return (e.g., AGOP, Base NOI, Minimum Owner Returns or Approved Budget). ○ Caps on the amount that can be earned.	Recognized as revenue on a monthly basis equal to the lesser of the actual fee earned to date per the contract terms and the full year forecasted incentive fee amount.² Annual performance thresholds are pro-rated when determining the amount earned unless history with the owner implies otherwise. (Note: This guidance is only applicable to revenue. Therefore, revenue recognized by Hilton may not equal the related expense recognized by the hotel.)	Hotel Management Services Right to Access Hotel System IP

² ASC 606-10-32-11, Revenue from Contracts with Customers, Overall, Measurement

REVENUE RECOGNITION – MANAGEMENT AND FRANCHISE CONTRACTS ACCOUNTING POLICY

Deferred Fees due back to Hilton	Where payment of a fee is deferred subject to cash flow waterfalls outlined in the MA and is contractually due back to Hilton upon the expiration of the Management Agreement or another date. Fee payment may be subordinated to other payments that the Owner may be required to make and may not be paid until years after the related services have been rendered.	If upon contract execution or contract amendment Hilton expects to defer all or a portion of its fees for a period greater than one year³, Hilton is deferring receipt of its fees as a way to provide financing (i.e., a below market loan) to the Owner and the associated receivable and revenue for these fees are determined based on the present value of the below market loan using market interest rates⁴. The receivable will then be accreted upwards to face value through the recognition of interest income. If upon contract execution or contract amendment Hilton does not expect to defer any of its fees for a period greater than one year, the associated receivable and revenue for these fees are determined and recognized in accordance with Base fees or Incentive fees as applicable.	Hotel Management Services Right to Access Hotel System IP
Stand aside Fees and Deferred Fees not due back to Hilton	Where payment of a fee is stood aside or deferred subject to cash flow waterfalls outlined in the MA and is not contractually due back to Hilton upon the expiration of the Management Agreement or another date. Fee payment may be subordinated to other payments the Owner may be required to make.	For any deferred or stood aside amounts that are not due back to Hilton upon the expiration of the Management Agreement or another defined date (i.e., there is no guarantee that any amounts would be clawed back), Hilton should only recognize Incentive Management Fees as they are earned and Hilton becomes entitled to them based on the current hotel performance (i.e., this clause should be treated as another aspect of the Incentive Management Fee calculation).	Hotel Management Services Right to Access Hotel System IP
Pre-Opening Services	Relate to the provision of services to hotel owners to assist in preparing for the hotel opening.	Recognize revenue on a straight-line basis over the pre-opening period.	Pre-opening Services
Development Services and Technical Services or Assistance	Relate to assisting hotel owners subsequent to contract execution during the hotel's development period on activities related to the hotel's construction. Fees are typically fixed and/or based on costs incurred.	Recognized as cash is received	Development and Technical Services

³ ASC 606-10-32-18, Revenue from Contracts with Customers, Overall, Measurement⁴ ASC 606-10-32-15, Revenue from Contracts with Customers, Overall, Measurement

REVENUE RECOGNITION – MANAGEMENT AND FRANCHISE CONTRACTS ACCOUNTING POLICY

Brand Services	Designed to compensate for costs Hilton incurs in supporting the respective brand. Per the terms of our MAs, Hilton is prohibited from earning a profit on these fees. Similar to program fees within FAs but are typically related to managed properties without a separate license.	Recognized as revenue on a monthly basis when earned in accordance with the terms of the contract.	Right to Access Hotel System IP
Direct Reimbursable Fees (e.g., employee payroll)	Designed to reimburse for other costs Hilton incurs in providing management and other related services. Per the terms of our MAs, Hilton is prohibited from earning a profit on these fees.	Recognized as revenues and expenses equal to the costs we incur each period.	Hotel Management Services Right to Access hotel system IP
Group Services & Benefits (GS&B) – International only	Designed to reimburse Hilton for the costs incurred in providing support services (e.g., corporate office, accounting, marketing or reservations) internationally. Unlike other reimbursable fees, Hilton can earn a profit related to these fees.	Recognized as revenue on a monthly basis when earned in accordance with the terms of the contract.	Hotel Management Services Right to Access Hotel System IP
Termination Fees	Fees paid to terminate a contract prior to its contractual expiration date.	Typically, revenue is not recognized until the collection of cash due to concerns with collectability. Cash collected upon termination is first applied to unreserved outstanding accounts receivable balances, then to unamortized management contract intangible assets, and then to reserved outstanding accounts receivable balances. Any remaining balance is recognized as a termination fee. If services continue to be provided by Hilton over a termination period once the cash has been received, the termination fee is recognized on a straight-line basis over the remaining contract term.	Hotel Management Services Right to Access Hotel System IP

Note: Certain fees (e.g., Honors or reservations) are charged to all hotels within the system regardless of whether a separate franchise agreement exists. Refer to **Hotel FAs** section for further discussion on the accounting for these system-wide fees charged. Further, expenses that are incurred by Hilton and recovered through an indirect fee reimbursement from the Owner are expensed as incurred.

Incentive Fees – Examples of evaluation of fees earned

Illustration I – Incentive Fees

Facts:

A hotel owner has contracted with a hotel management company to provide management services for the hotel. The fees paid to the management company will equal 10% of the hotel's Adjusted Gross Operating Profit ("AGOP") for the annual period. For the first three months of the year, the hotel's cumulative year-to-date AGOP was \$400,000, \$700,000 and

\$800,000 at the end of January, February and March, respectively. The hotel management company forecasted its annual incentive fee to be \$70,000, \$75,000 and \$77,500 at the end of January, February and March, respectively.

Analysis:

The fees recognized by the hotel management company at the end of each month are the lesser of the actual fee earned to date per the contract terms and the full year forecasted incentive fee amount.

Conclusion:

The following table outlines the recording of the incentive fees by the hotel management company over the first three months of the year:

	January	February	March
Adjusted Gross Operating Profit (Year-to-Date)	\$400,000	\$700,000	\$800,000
Incentive Fee %	10%	10%	10%
Amount earned per the Contract Terms	40,000	70,000	80,000
Full Year Forecasted Incentive Fee	70,000	75,000	77,500
Lesser of Actual and Forecast	40,000	70,000	77,500
Previously Recorded Amount	-	(40,000)	(70,000)
Monthly Revenue Recorded	\$40,000	\$30,000	\$7,500

Note: Any changes in the cumulative incentive fee revenue during the performance period, in this case annually, are accounted for prospectively as an adjustment to revenue.

Illustration II – Incentive Fees – Decrease in cumulative year-to-date AGOP

Facts:

Assuming the same facts as in Illustration I, except that for the first three months of the year, the hotel's cumulative year-to-date AGOP was \$400,000, \$700,000 and \$600,000 at the end of January, February and March.

Analysis:

The fees recognized by the hotel management company at the end of each month are the lesser of the actual fee earned to date per the contract terms and the full year forecasted incentive fee amount.

Conclusion:

The following table outlines the recording of the incentive fees by the hotel management company over the first three months of the year:

	January	February	March
Adjusted Gross Operating Profit (Year-to-Date)	\$400,000	\$700,000	\$600,000
Incentive Fee %	10%	10%	10%
Amount earned per the Contract Terms	40,000	70,000	60,000
Full Year Forecasted Incentive Fee	70,000	75,000	77,500
Lesser of Actual and Forecast	40,000	70,000	60,000
Previously Recorded Amount	-	(40,000)	(70,000)
Monthly Revenue Recorded	\$40,000	\$30,000	(\$10,000)

Note: Any changes in the cumulative incentive fee revenue during the performance period, in this case annually, are accounted for prospectively as an adjustment to revenue.

Illustration III – Incentive Fees Subject to Minimum Owner Return

Facts:

A hotel owner has contracted with a hotel management company to provide management services for the hotel. The fees paid to the management company will equal 10% of the hotel's net operating income ("NOI") in excess of the minimum owner's return of \$12,000,000 for the annual period. For the first three months of the year, the hotel's cumulative year-to-date NOI was \$800,000, \$2,800,000 and \$3,600,000 at the end of January, February and March. The hotel management company forecasted its annual incentive fee to be \$50,000, \$70,000 and \$70,000 at the end of January, February and March, respectively.

Analysis:

The fees recognized by the hotel management company at the end of each month are the lesser of the actual fee earned to date per the contract terms and the full year forecasted incentive fee amount. The fee is not considered earned unless the minimum owner's return is met. As the management contract does not state that the minimum owner's return is not earned ratably over the year, we will assume that the minimum owner's return will build by \$1,000,000 monthly over the year.

Conclusion:

The following table outlines the recording of the incentive fees by the hotel management company over the first three months of the year:

	<u>January</u>	<u>February</u>	<u>March</u>
Net Operating Income (Year-to-Date)	\$800,000	\$2,800,000	\$3,600,000
Cumulative Minimum Owner's Return	(1,000,000)	(2,000,000)	(3,000,000)
(Build-up method)	(\$200,000)	\$800,000	\$600,000
Cumulative Excess/(Shortfall)			
Incentive Fee %	10%	10%	10%
Amount earned per the Contract Terms	-	80,000	60,000
Full Year Forecasted Incentive Fee	50,000	70,000	70,000
Lesser of Actual and Forecast	-	70,000	60,000
Previously Recorded Amount	-	-	(70,000)
Monthly Revenue Recorded	\$0	\$70,000	(\$10,000)

Note: Unless the management contract states or history with the owner has shown that the full minimum owner's return must be met prior to any incentive fees being earned, incentive fees should be recognized in the manner as illustrated in this example. If there is uncertainty around the interpretation of the minimum owner's return in an agreement, please consult with TA. Any changes in the cumulative incentive fee revenue during the performance period, in this case annually, are accounted for prospectively as an adjustment to revenue.

Illustration IV – Deferred Incentive Fees

Facts:

A hotel management company entered into a 10-year management agreement with an owner to manage their hotel. In exchange for hotel management services, the owner agreed to pay the management company annual management fees of \$1.0 million, with \$0.5 million of the management fee subordinated to the owner's ability to make loan payments to their lender. At contract inception the company expects that it will not receive the first year of subordinated management fees until year 5. All deferred amounts will be due upon contract termination, and the management company has previously concluded it is probable it will collect substantially all of the consideration it is entitled to under the contract.

Analysis:

In effect, the hotel management company expects to give the owner a 5-year \$0.5 million interest free loan. The expected present value of this loan is \$0.3 million at the time of issuance using a discount rate of 10%, which was determined based on the credit risk of the owner and the current market interest rate at that time.

Conclusion:

At the end of the first year, the management company will record revenue and a receivable of \$0.3 million related to the \$0.5 million in subordinated management fees. This receivable will then be accreted upwards to \$0.5 million over the period of the expected receivable term through interest income.

b. Hotel FAs

The following types of fees are typically found in our hotel FAs:

FA Fee	Description of Fee	Initial Recognition & Measurement	Performance Obligation
Royalty Fees	Fees paid in connection with the right to access our hotel system IP, which includes the licensing of one of Hilton's brands. Typically calculated as a fixed percentage of the hotel's Gross Room Revenues ("GRR").	Recognized as revenue on a monthly basis when earned in accordance with the terms of the contract.	Right to Access Hotel System IP
Program Fees	Designed to compensate for costs Hilton incurs in supporting the respective brand. Per the terms of our FAs, Hilton is prohibited from earning a profit on these fees. Typically calculated as a fixed percentage of the hotel's Gross Room Revenues ("GRR").	Recognized as revenue on a monthly basis when earned in accordance with the terms of the contract.	Right to Access Hotel System IP
Other Recurring Hotel System IP Related Fees (e.g., HRCC or OnQ)	Designed to compensate Hilton for costs incurred in supporting the respective brand and other hotel system IP.	Revenue is recognized when, or as, Hilton satisfies its performance obligations by transferring a promised good or service to a customer. For sales-based or usage-based fees, the fees will be recognized as the underlying sales or usage occurs. Refer to FP-FIN-044—Loyalty Programs Accounting Policy for discussion of the accounting for fees received related to Hilton Honors.	Right to Access Hotel System IP
Franchise Application Fees, Conversion Fees, Franchise Transfer Fees and Relicensing Fees	Charged for establishing the franchise relationship.	Deferred and recognized on a straight-line basis over the contract term, including renewal options at Hilton's sole option, beginning upon the later of hotel opening or contract or amendment execution. Refer to FP-FIN-037—Costs to Obtain a Contract Accounting Policy for discussion of the accounting for costs incurred related to contract execution.	Right to Access Hotel System IP
Termination Fees or Liquidated Damages	Paid to terminate a contract prior to its contractual expiration date.	Typically, revenue is not recognized until the collection of cash due to concerns with collectability.	Right to Access Hotel System IP

REVENUE RECOGNITION – MANAGEMENT AND FRANCHISE CONTRACTS ACCOUNTING POLICY

		Cash collected upon termination is first applied to unreserved outstanding accounts receivable balances, then to unamortized franchise contract intangible assets, and then to reserved outstanding accounts receivable balances. Any remaining balance is recognized as a termination fee. If services continue to be provided by Hilton over a termination period once the cash has been received, the termination fee is recognized on a straight-line basis over the remaining contract term.	
Product Improvement Plan (“PIP”) Fees	Received for developing a PIP for the franchisee.	Deferred and recognized on a straight-line basis over the contract term, including renewal options at Hilton’s sole option, beginning upon the later of hotel opening or when the PIP related services are performed.	Right to Access Hotel System IP
Construction Extension or Renovation Work Extension Fees	Received if the hotel owner wishes to delay the opening date of their hotel from the initially agreed upon date.	Deferred and recognized on a straight-line basis over the contract term, including renewal options at Hilton’s sole option, beginning upon the later of hotel opening or when the services are performed.	Right to Access Hotel System IP
Technical Services Fees	Charged in addition to the Application Fee. Relate to assisting hotel owners subsequent to contract execution during the hotel’s development period on activities related to the hotel’s construction. Fees are typically fixed and/or based on costs incurred.	Recognized as cash is received.	Development Services and Technical Services
Room Addition Fees	Paid by the franchisee to add additional rooms to the previously approved room count of the hotel.	Deferred and recognized on a straight-line basis over the contract term, including renewal options at Hilton’s sole option, beginning upon the later of hotel opening or when the services are performed.	Right to Access Hotel System IP
Other Miscellaneous Processing Fees	Other fees relating to any preparation and processing services provided by Hilton.	Deferred and recognized on a straight-line basis over the contract term, including renewal options at Hilton’s sole option, beginning upon the later of hotel opening or when the services are performed.	Right to Access Hotel System IP

		If there is no associated contract, the fee should be recognized upon receipt.	
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Illustration V – Contract Modifications – Application Fees—Scenario 1

Facts:

ABC Company (“ABC”) entered into an FA for 10 years and received an application fee of \$100,000. At the end of year 9, ABC negotiated a new 10-year FA beginning after the end of the existing contract based on the current market fee terms and an additional application fee of \$75,000. The remaining deferred revenue balance of the initial application fee was \$10,000 at the time of the new contract execution.

Analysis:

As the new contract added term and the fees are priced at the current market conditions at the date of execution, the contract is a separate contract from the initial contract. The original deferred revenue balance for the FA is amortized over the remaining original term and the application fee related to the modification is deferred and recognized over the term of the new contract.

Conclusion:

ABC will continue to recognize the remaining \$10,000 of deferred revenue over the remaining 1-year term of the original contract and will defer and recognize, on a straight-line basis, the new application of \$75,000 over the new contract term of 10 years beginning in Year 11.

Illustration VI – Contract Modifications – Application Fees—Scenario 2

Facts:

ABC Company (“ABC”) entered into an FA for 10 years and received an application fee of \$50,000. At the end of Year 5, ABC executed a contract amendment to extend the contract term by 5 years with no change in the previously negotiated fees to reflect current market conditions. An application fee was not charged for this extension. The remaining deferred revenue balance of the application fee was \$25,000 at the time of the contract amendment.

Analysis:

As the contract extension added additional services that were not priced at the current market conditions at the time of execution, the contract amendment is a cancellation of the existing contract and creation of a new one, inclusive of the remaining term on the original contract. The deferred revenue balance of the remaining application fee is deferred and recognized through the expiration date of the new contract, beginning upon the contract amendment execution.

Conclusion:

ABC will recognize, on a straight-line basis, the remaining deferred revenue balance of \$25,000 over the remaining 10-year term of the extended FA beginning upon the contract amendment execution.

c. Residential Unit Marketing License Agreements (MLAs)

The following types of fees are typically found in our MLAs:

MLA Fee	Description of Fee	Initial Recognition & Measurement	Performance Obligation
Sales License Fee/Sales & Marketing License Fee	Fees paid in connection with an owner’s right to use one or more of Hilton’s brand logo and other marks in the sales and marketing materials related to the sale of residential units.	Generally, fees will be recognized as units are sold (e.g., a sales contract is signed and any legal rescission period has passed) and fees are earned. However, as Hilton generally does not have the right to bill for those fees until the owner closes on the sale of the unit, which typically does not	Sales and Marketing IP License

	Typically calculated as a fixed percentage of the sales price of the residential units.	occur until construction is complete (i.e., the period in which the fees are recognized may differ from the period in which the fees are billed by several years), Hilton will only recognize revenue to the extent that there is not a significant risk of reversal. Any amounts not recognized are deferred and recognized upon the close of the underlying unit to which the fees relate. As the fees generally are not billable until the owner closes on the sale of the unit, Hilton will recognize the offset to revenue as a contract asset instead of an accounts receivable. The contract asset should be classified as a current or long-term asset depending on when we expect Hilton to be able to bill (e.g., when unit sales are expected to close). Upon billing, Hilton will recognize an accounts receivable for the full amount of the fees owed and reduce the related contract asset to zero with any difference recognized as an increase or decrease to revenue.	
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Illustration VII – MLA Fee Recognition

Facts:

ABC Company (“ABC”) entered into an MLA for the marketing and sales of ABC branded residential units in a planned residential tower of 100 units. Within the MLA, ABC will earn a Sales & Marketing License Fee equal to 3% of the sales price of each residential unit which is billable at the time the owner closes on the sale of the residential unit. The owner is selling the residential units over a multi-year period but does not expect to close on any of the sales until construction is complete. ABC believes there is not a significant risk of reversal for 90% of the Sales & Marketing License Fees that are earned at the time of each residential unit sale.

During 20X1, the owner sold all 100 residential units at an average sales price of \$1 million. In 20X3, the owner finished construction of the residential tower and closed on the sale of all 100 residential units at an average sales price of \$1 million.

Analysis:

As the Sales & Marketing IP License performance obligation represents a series of distinct services provided over time, the percentage of the sales price will be allocated to the period in which those sales are completed. Therefore, ABC should recognize Sales & Marketing License Fee revenue as each residential unit is sold. Revenue recognized prior to sale closing should be constrained to 90% of the Sales & Marketing License Fee since this is the amount in which ABC believes there is not a significant risk of reversal.

Conclusion:

During 20X1, ABC will recognize \$2.7 million (100 units * \$1 million * 3% * 90%) as revenue and will record a corresponding contract asset. As the owner completed construction and closed on all 100 residential units in 20X3, ABC will recognize accounts receivable for \$3.0 million, relieve its \$2.7 million contract asset and recognize additional revenue of \$300,000 (100 units * \$1 million * 3% - \$2.7 million) during 20X3.

SUBSEQUENT MEASUREMENT

At the onset of an arrangement, Hilton must complete an assessment of whether it is probable Hilton will collect substantially all consideration it will be entitled to in exchange for the goods or services that will be transferred to the customer, as noted in the **Initial Recognition and Measurement** section.⁵ This must also be subsequently reassessed if there is a substantive change in facts and circumstances.⁶ If subsequent to contract onset it is determined it is not probable Hilton will collect substantially all of the consideration it is entitled to (i.e., likelihood of revenue collection is less than 75%), all future revenue should not be recognized until Hilton has received cash for the good or service it provided to the customer.⁷ Any previously recognized revenue related to a customer where it is probable Hilton will not collect substantially all the consideration it is entitled to should not be reversed unless Hilton provides the owner with a concession. Refer to **FP-FIN-032—Accounts Receivable – Allowance for Credit Losses Accounting Policy** and **FP-FIN-020—Revenue Recognition Accounting Policy** for the accounting for any previously recognized fees.

FINANCIAL STATEMENT LINE ITEMS AFFECTED

Note: The following section addresses the financial statement line items affected by the accounting for routine transactions covered by this policy. For all transactions that require a consultation with TA, please defer to the guidance provided by TA regarding the appropriate financial statement line items effected by the transaction.

<u>Transaction</u>	<u>Affected</u>		
	Balance Sheet Line Item	Income Statement Line Item	Cash Flow Statement Section
Profit Driven Fees (not all inclusive) <i>Management Contract</i> • Base and Incentive • Pre-Opening Service • Development Service • Termination <i>Franchise Contract</i> • Royalty • Termination • Technical Services <i>Marketing License Agreement</i> • Sales License Fee	- Accounts receivable, net of allowance for credit losses (debit)	- Base and other management fees (credit) - Incentive management fees (credit) or - Franchise and licensing fees (credit)	Operating Activities (reconciling item to net income)
Franchise Contract (collection and deferral of fees) • Application, Conversion, Transfer, Relicensing • PIP Fees • Construction Extension or Renovation Work Extension • Room Addition • Other miscellaneous processing fees	- Cash and cash equivalents (debit) - Deferred revenues (credit)	- N/A – Fees are deferred and recognized on a straight-line basis prospectively over the contract term.	- Operating Activities (reconciling item to net income)

⁵ ASC 606-10-25-1e, Revenue from Contracts with Customers, Overall, Recognition

⁶ ASC 606-10-25-5, Revenue from Contracts with Customers, Overall, Recognition

⁷ ASC 606-10-25-7, Revenue from Contracts with Customers, Overall, Recognition

Franchise Contract (amortization of deferred fees) • Application, Conversion, Transfer, Relicensing • PIP Fees • Construction Extension or Renovation Work Extension • Room Addition • Other miscellaneous processing fees	- Deferred revenues (debit)	- Franchise and licensing fees (credit)	- Operating Activities (reconciling item to net income)
Reimbursable Fees (all contracts, not all inclusive) • Brand Services Fees • Other Reimbursable Fees • Program Fees and Other Reimbursable Hotel System IP fees	- Accounts receivable, net of allowance for credit losses (debit)	- Cost reimbursement revenues (credit)	- Operating Activities (reconciling item to net income)
Reimbursable Expenses Incurred (Hilton is Principal)	- Accounts payable, accrued expenses and other (credit)	- Reimbursed expenses (debit)	- Operating Activities (reconciling item to net income)
Group Services & Benefits (International)	- Accounts receivable, net of allowance for credit losses (debit)	- Cost reimbursement revenues (credit)	- Operating Activities (reconciling item to net income)

RELATED DOCUMENTS, TOOLS, AND TEMPLATES

POLICIES & PROCEDURES

- [FP-FIN-020—Revenue Recognition Accounting Policy](#)
- [FP-FIN-032—Accounts Receivable – Allowance for Credit Losses Accounting Policy](#)
- [FP-FIN-037—Costs to Obtain a Contract Accounting Policy](#)
- [FP-FIN-044—Loyalty Programs Accounting Policy](#)

TERM/ACRONYM	DEFINITION
For definitions of specific terms please refer to the individual MAs, FAs, and MLAs as well as the latest edition of USALI in the event there is no contract specific definition.	

ROLES AND RESPONSIBILITIES

ENTITY/PERSONNEL	RESPONSIBILITIES
Technical_Accounting@hilton.com	The email represents the TA contact address. Please direct any questions regarding the interpretation or implementation of this policy to a member of the TA team or the listed e-mail.